

Who is a land dealer?

 ura.go.ug/en/land-dealers-developers-faqs/

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This is a person who acquires land for resale and sells it as is.

This is a person who acquires land for resale and adds value to it by partitioning e.g. 50X100, avails utilities near it, puts a structure and other developments which increases its value may partition it or add utilities, structures, and other developments so that they increase its value.

A person may take the form of: an individual, a company, a trust or partnership.

All land dealers/developers in Uganda are required to be registered with;

- Uganda Registration Services Bureau (URSB) for Company registration
 - Uganda Revenue Authority (URA) for taxes
 - Local council authority e.g. KCCA, municipal council, for a trading license
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What do I need to register for taxes?

For individual

- National ID
- Certificate of registration

For non-individual

- Company Form 20
- Certificate of incorporation

[Click here](#) for details on requirements for registration

- You're required to visit the URA portal on ura.go.ug
 - [Click here](#) to register as an individual
 - [Click here](#) to register as a non-individual
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[Click here](#) for your rights and obligations as a taxpayer

CORPORATION TAX

Corporation tax is charged on profit derived by a land dealer or land developer at a rate of 30%.

[Click here](#) for more information on computation of Corporation tax

INDIVIDUAL INCOME TAX

Individual players in this sector are eligible to pay income tax depending on the income bracket that relates to each.

[Click here](#) for more information on the computation of individual income tax

VALUE ADDED TAX (VAT)

VAT is a consumption tax charged at a rate of 18% on all supplies made by taxable persons i.e. persons registered or required to register for VAT purposes. The threshold for VAT registration is an annual turnover of over 150 million, or 37.5 million in the first 3 consecutive months.

VAT applies to a developer who earns above UGX 150,000,000 in a given year.

[Click here](#) to register for VAT

Please note:

All VAT registered taxpayers are obliged to register for EFRIS and issue e-invoices

[Click here](#) for information on how to register for EFRIS

Is VAT charged on sale of land?

Undeveloped land is VAT exempt however, developed land (where utilities, structures, and other developments have been put on the land) is charged VAT at the standard rate of 18%.

WITHHOLDING TAX

Withholding tax (WHT) is a form of income tax that is withheld at source by one person (designated withholding tax agent) upon making payment to another person (payee).

However, this will apply to transactions with a value that exceeds UGX 1,000,000.

Please note

The tax withheld is credited/ reduced on the tax payable in the final income tax return.

[Click here](#) for information on Withholding tax.

PAY AS YOU EARN (PAYE)

Any land dealer/developer with workers/employees earning a monthly salary more than 235,000 per month is required to register for Pay as You Earn (PAYE), withhold and remit tax to URA.

[Click here](#) for the PAYE rates

[Click here](#) for information on how to file your returns.

After filing a return, you're required to pay taxes due using available payment platforms e.g. banks, mobile money, VISA, EFT, RTGS, Mastercard, USSD code (*285#) etc.

Please note: the due date for payment of tax is the same as that of return filing.

For more information, visit the nearest URA office for assistance or call the toll-free line **0800117000/0800217000** or WhatsApp: **077214000**